SAAS CUSTOMER CHURN ANALYSIS

What's driving customer loss and what to do about it.

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THE SITUATION

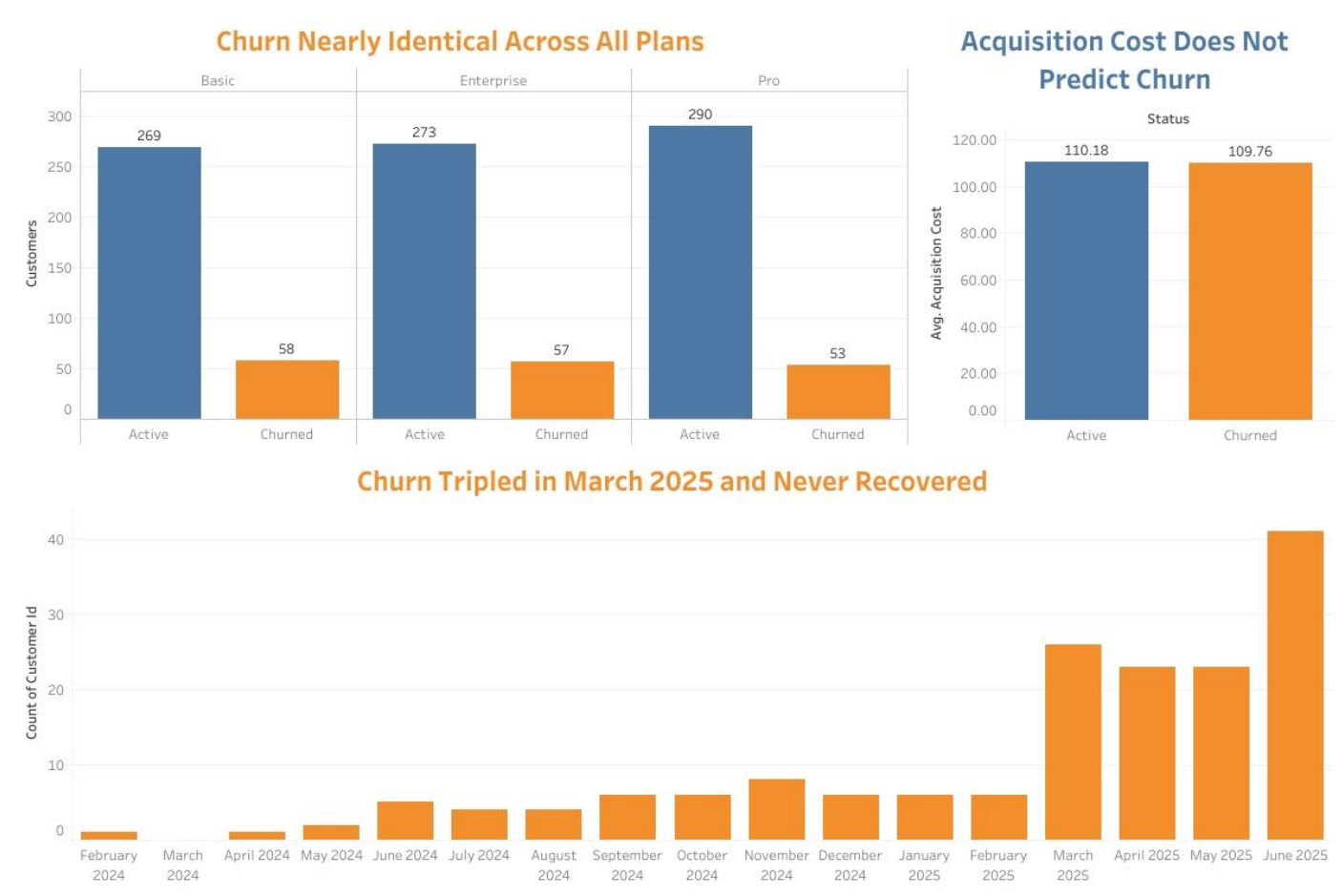
- A SaaS company asked: Who is churning, When, and Why?
- Analyzed 1,000 customer records from Jan 2024 to Jun 2025.
- Three plan types investigated: Basic, Enterprise, and Pro.
- Examined acquisition cost, plan type, and tenure as potential churn predictors.

WHAT WE FOUND

Something Changed in March 2025 and the data points directly to it.

- Churn *tripled* in March 2025 and never recovered, spiking again in June 2025.
- Plan type does not predict churn. Rates nearly identical: Basic 17.7%, Enterprise 17.3%, Pro 15.4%.
- Acquisition Cost does not predict churn. Less than a $0.50 difference between active and churned customers.
- Churn was stable throughout 2024 averaging 1-8 customers per month.

THE EVIDENCE



WHAT THIS MEANS

- This is not a customer profile problem, it's a timing event issue and requires investigation.
- Adjusting pricing, plan targeting, or acquisition strategy will not fix this.
- Something changed in or around March 2025 causing a shift in retention.
- Until the root cause is identified any retention intervention is guess work.

RECOMMENDATIONS

- Investigate March - June 2025
  - Cross reference marketing campaigns, support tickets, and development changelog.
- Extend The Dataset To Present Day
  - Confirm if churn is still elevated or has been resolved.
- Month 4 Proactive Outreach
  - Customer Success check-in before customers reach the churn window.
- One Question Exit Survey
  - Direct evidence that no internal data analysis can replace.

APPENDIX - METHODOLOGY

All SQL queries available on Github

Data Source:

- SaaS Business Metrics Customers, Plans, and Revenue
- Kaggle
- 1,000 records

Tools:

- SQL (SQLiteOnline)
- Excel
- Tableau Public
- PowerPoint

Alterations:

- Columns removed: Amount (duplicate of monthly_fee), Subscription sheet (no new information).
- Joined files: Customers and Revenue using XLOOKUP on customer_id.
- Calculated active customer tenure as of 06/30/2025 to avoid data staleness.